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GEO411

Homework #5

4/26/2026

Part 1 Interpret 6 Slopes

1. "Bedrooms" have a coefficient of $-4.519e+04$ which in real numbers is $-45,190$ meaning for every additional room we see a decrease in home price on average of 45,190 dollars. Which doesn't make sense since additional bedrooms should be raising the price, it means we likely have multicollinearity with another variable most likely square footage because they are correlated and both involve home size.
2. For "bathrooms" we have a coefficient of 42,650 meaning for every additional bathroom we have we see an increase in total house price of 42,650 on average. I see no issue with this part of the model.
3. For "Square footage" we have 268.1 meaning for every additional square foot in a home we can see an average price increase of 268.10 dollars. This is a strong positive and serves as one of the key predictors from what I can see.
4. For "Year Built" we have $-1,857$ meaning for every year that passes we can see an average decrease in home value of 1,857 dollars per. This coefficient doesn't make sense in the model since homes usually grow in value do to inflation and value growth every year meaning that the is a model misspecification or variable that we have left out effecting our results.
5. For Hs we see $-730,400$ when converted when we have a unit increase in the proportion of adults over 24 that have graduated highschool but not college is normally associated with a decline in home price of 730,400 dollars per. This doesn't make a lot of sense since it is such a large number, since its proportional we can do a lower increase 0.10 meaning 10 point which would equal a decrease of 73,040 dollars, it tells us though that with lower educations we can assume lower house price on average.
6. SC gives us a value of $-1,139,000$ when converted, it tells us that for every unit increase of The